NEED TO KNOW

PAYMENT BY VOICE

An RBI notification paves the way for conversational payments within the UPI framework. It could recast the way transactions take place. Also, EPFO raises its stake in equity and loan repayment gets flexible

Using voice commands on the smartphone or for virtual assistants like Alexa is fairly common these days. Soon, it could happen for payments through the UPI (united payments interface) on your phone. UPI has revolutionised the way payments happen and has been instrumental in expanding the digital payment ecosystem. Each passing month, the number and value of transactions through UPI and UPI Lite keep rising.

The Reserve Bank of India recently proposed incorporating AI (artificial intelligence)-powered conversational features in UPI. A voice payment will entail speaking to an AI-powered device, such as a speaker or a smartphone, and requesting it to make a payment. The device will recognise the speaker, and respond with a confirmation. The service will initially be available in English and Hindi, with other regional languages added later on.

Familiarity with voice technology has done away with language barriers. Voice commerce solutions from payment service providers have been slow to enter the field, but the RBI announcement should be enough impetus for such payment solutions to catch up fast.

The regulations on UPI Lite, which has raised the transaction limit to Rs 500 from the current Rs 200 will also aid this. UPI Lite was launched in September 2022 to allow quick, small-value transactions by optimising processing resources for banks. It allowed users to conduct transactions of up to Rs 200 a day without the aid of a PIN. The Rs 2,000 per day ceiling, though, remains.

WITH AI INTEGRATING INTO THE DIGITAL ECONOMY AT A FAST PACE, CONVERSATIONAL INSTRUCTIONS HOLD IMMENSE POTENTIAL AND COULD MAKE UPI USER NUMBERS SKYROCKET

Chances are that platforms and merchants that already have a chatbot facility will be the first to try and benefit from the initiative.

With AI integrating into the digital economy at a fast clip, conversational instructions hold immense potential and could make UPI user numbers skyrocket.

EPFO'S EQUITY ALLOCATION CROSSES Rs 2 LAKH CRORE

The EPFO (Employees' Provident Fund Organisation) has been investing part of its corpus in the stock markets through ETFs (exchange-traded funds) since 2015-16. The initial exposure of 5 per cent of the incremental deposit meant that it could invest only up to this level of the collection for that financial year. Given the large corpus held by the EPFO, this contribution was minuscule. However, over